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Executive Overview

How is the business performing? · Dec 2009 – Dec 2011 · 1.0M transactions

YEAR

All

COUNTRY

All

TOTAL REVENUE

£19.3M

ORDERS

39.5K

ACTIVE CUSTOMERS

5.9K

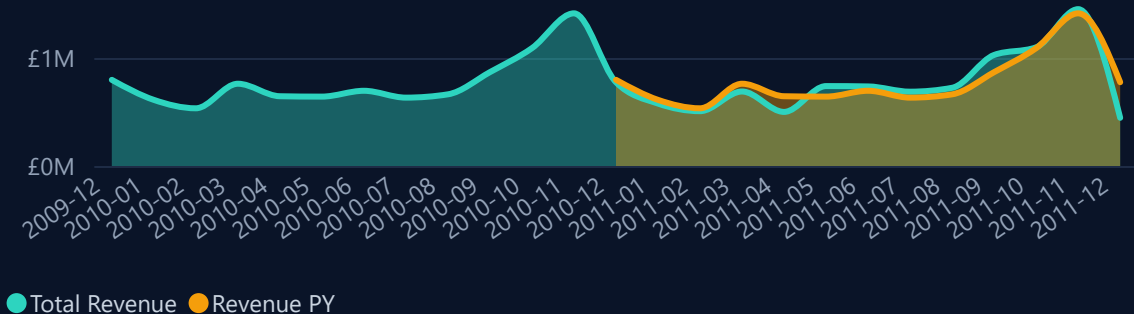
AVG ORDER VALUE

£489

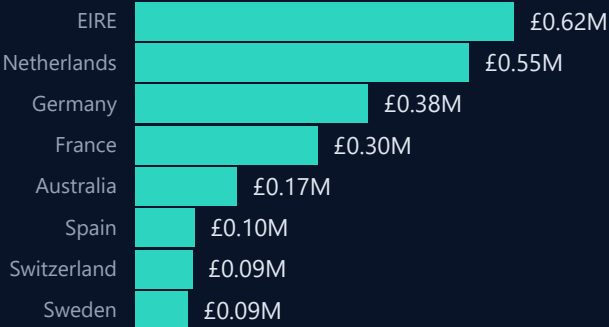
REVENUE YoY

+2.4%

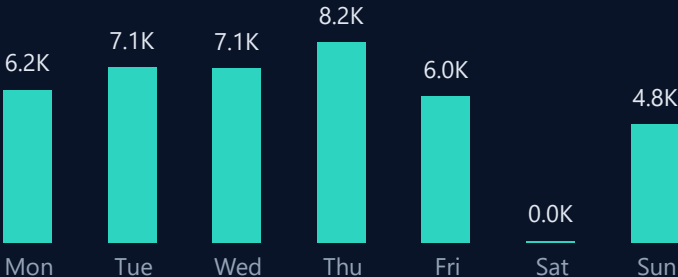
MONTHLY REVENUE · THIS YEAR VS LAST YEAR



TOP 8 MARKETS · EXCL. UK



ORDERS BY WEEKDAY



KEY INSIGHTS

- Top 20% of customers generate 77% of revenue: high concentration risk.
- Revenue peaks Sep–Nov every year (gift season); Nov ≈ 2× spring months.
- UK is 85% of revenue; Ireland, Netherlands and Germany lead overseas.
- Weekday, office-hours ordering: a B2B wholesale customer base.

Customer Segments · RFM

Who are our customers, and who matters most? · Recency · Frequency · Monetary

ML CLUSTER

All

CUSTOMERS

5.9K

REPEAT CUSTOMER RATE

72.3%

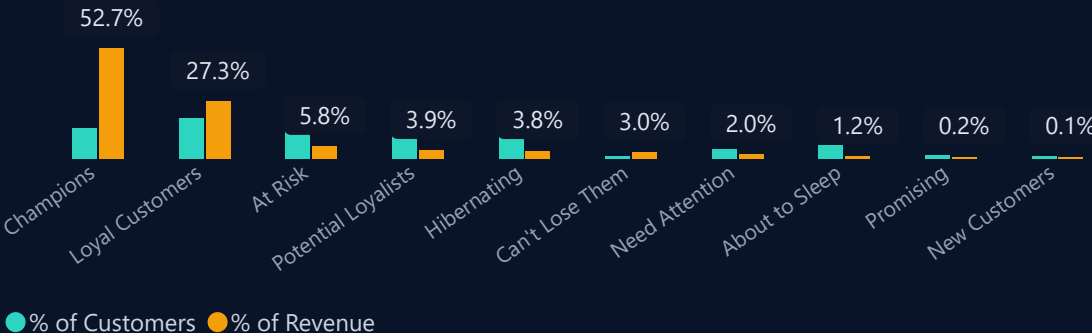
CHAMPIONS' SHARE OF REVENUE

52.7%

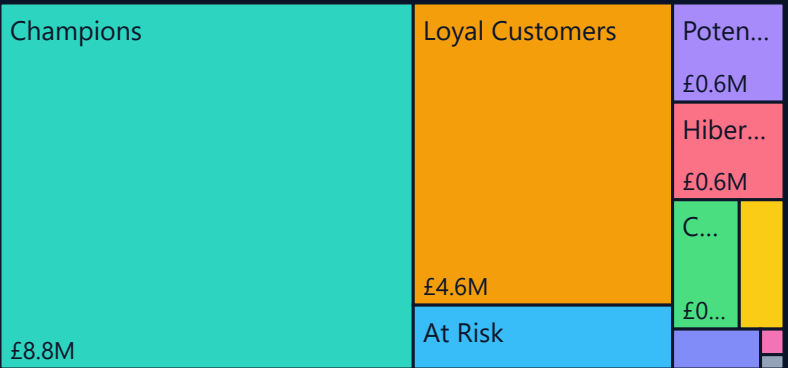
REVENUE AT RISK (LAPSING)

£1.5M

SHARE OF CUSTOMERS VS SHARE OF REVENUE BY SEGMENT



REVENUE BY SEGMENT



R × F GRID · CUSTOMERS PER CELL

F	1	2	3	4	5	Total
1	509	300	194	111	57	1,171
2	386	317	188	165	114	1,170
3	185	284	268	240	193	1,170
4	73	214	317	296	270	1,170
5	16	56	196	323	580	1,171
Total	1,169	1,171	1,163	1,135	1,214	5,852

SEGMENT PLAYBOOK · RECOMMENDED ACTIONS

Segment	Priority	Recommended action
Champions	Retain	VIP / loyalty tier, early access to new ranges, ask for referrals. No discounts needed
Loyal Customers	Retain	Upsell higher-value ranges, volume-based rewards, account manager for top ones.
About to Sleep	Re-engage	Reactivation email with popular products; a small discount.
At Risk	Win back	Personalised win-back offer; survey to find out why they stopped.

Churn Risk

Who is likely to stop buying in the next 90 days, and how much revenue is at stake?

SEGMENT

All

REVENUE AT RISK · NEXT QTR

£441.7K

HIGH-RISK CUSTOMERS

2.1K

AVG CHURN PROBABILITY

53.4%

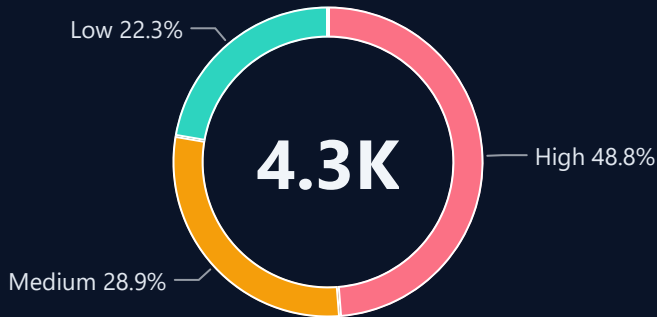
MODEL ROC-AUC (OUT-OF-TIME)

0.77

CUSTOMER VALUE VS CHURN RISK



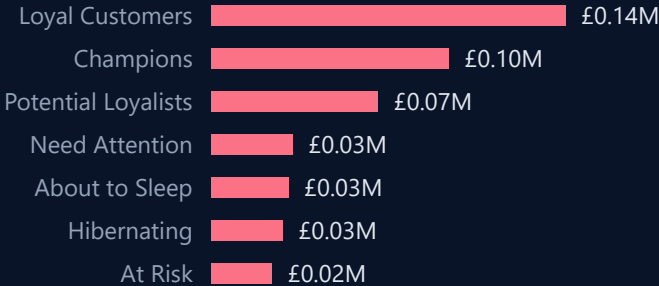
CUSTOMERS BY RISK BAND



PRIORITY CALL LIST · TOP 20 BY REVENUE AT RISK

Customer	Segment	Country	Churn Risk	Quarterly Revenue	Revenue At Risk
15098	Need Attention	United Kingdom	71.4%	£9,979	£7,125
15749	Hibernating	United Kingdom	64.6%	£3,706	£2,396
12590	Hibernating	Germany	63.3%	£2,335	£1,478
12357	Potential Loyalists	Switzerland	72.0%	£1,552	£1,117
13093	Can't Lose Them	United Kingdom	62.4%	£1,758	£1,097
17500	Loyal Customers	United Kingdom	60.4%	£1,521	£1,055

REVENUE AT RISK BY SEGMENT



Cohort Retention

Do new customers come back? · % of each acquisition cohort active N months later

MONTH-1 RETENTION

20.7%

MONTH-3 RETENTION

20.8%

MONTH-12 RETENTION

18.0%

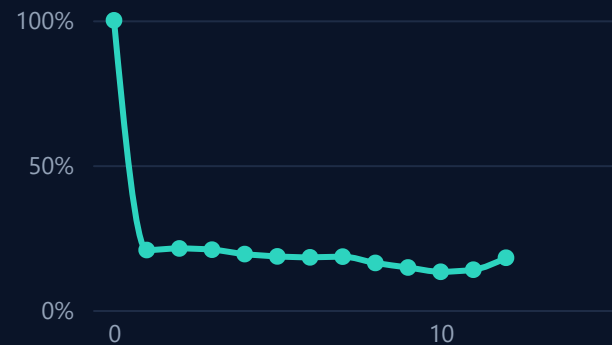
ONE-TIME BUYERS

27.7%

RETENTION HEATMAP · COHORT × MONTHS SINCE FIRST PURCHASE

Cohort	0	1	2	3	4	5	6	7	8	9	10	11	12
2009-12	100.0%	35.0%	33.3%	42.5%	37.9%	36.0%	37.6%	34.4%	33.8%	36.2%	42.2%	49.6%	37.6%
2010-01	100.0%	21.5%	32.1%	31.5%	27.2%	31.0%	26.9%	23.4%	28.5%	32.6%	31.0%	17.9%	22.8%
2010-02	100.0%	23.5%	22.7%	29.3%	24.5%	19.7%	19.2%	28.8%	25.6%	27.5%	11.5%	12.5%	14.9%
2010-03	100.0%	19.0%	23.1%	24.3%	23.1%	20.4%	24.7%	30.6%	27.7%	10.9%	11.3%	14.5%	20.0%
2010-04	100.0%	19.0%	19.0%	16.0%	18.4%	22.1%	27.6%	26.5%	10.5%	10.9%	7.5%	13.9%	14.3%
2010-05	100.0%	15.7%	16.9%	17.6%	17.6%	25.5%	21.2%	12.5%	5.9%	8.2%	11.4%	13.3%	15.3%
2010-06	100.0%	17.6%	18.7%	20.6%	23.2%	28.5%	12.7%	9.0%	8.2%	11.2%	10.5%	13.9%	15.0%
2010-07	100.0%	15.7%	18.4%	29.7%	29.2%	14.1%	11.4%	14.6%	14.6%	11.4%	13.5%	14.6%	13.0%
2010-08	100.0%	19.6%	28.8%	32.5%	16.6%	11.7%	9.8%	12.9%	13.5%	12.9%	12.9%	11.7%	14.7%
2010-09	100.0%	23.0%	23.4%	13.0%	8.8%	10.5%	13.8%	9.6%	13.0%	13.0%	12.1%	10.0%	22.6%
2010-10	100.0%	25.9%	14.7%	12.5%	8.8%	8.3%	13.1%	13.9%	10.7%	9.3%	10.7%	12.8%	19.2%
2010-11	100.0%	17.5%	9.5%	9.5%	7.7%	8.9%	12.9%	10.1%	8.6%	9.2%	11.0%	14.7%	25.2%
2010-12	100.0%	9.2%	5.3%	9.2%	11.8%	6.6%	5.3%	9.2%	5.3%	2.6%	9.2%	19.7%	2.6%
2011-01	100.0%	16.7%	22.2%	19.4%	22.2%	15.3%	15.3%	12.5%	11.1%	20.8%	25.0%	11.1%	
2011-02	100.0%	16.0%	16.0%	18.4%	21.6%	16.0%	16.0%	15.2%	15.2%	18.4%	6.4%		

AVERAGE RETENTION CURVE



WHAT IT MEANS

- The biggest drop happens right after the first order: only ~21% return next month.
- Customers who stay past month 3 tend to stay: retention flattens at ~18–20%.
- Repeat buyers spend 11× more: a 2nd-purchase journey is the top lever.

Revenue Forecast

What revenue should we expect next quarter? · Weekly forecast with 80% / 95% ranges

FORECAST · NEXT 13 WEEKS

£1.9M

LOW CASE (80%)

£1.3M

HIGH CASE (80%)

£2.5M

BACKTEST ERROR (WAPE)

12.1%

FORECAST BIAS

-0.9%



BACKTEST LEADERBOARD · UNSEEN SEP-DEC 2011

METHOD	WAPE	BIAS
Ensemble (chosen)	12.1%	-0.9%
Harmonic regression	12.8%	-4.6%
Seasonal naive × growth	15.2%	+2.8%
Naive (last week)	47.3%	-47.3%

HOW IT WORKS

- Trend + yearly Fourier seasonality + Christmas-shutdown flag (OLS), K chosen by AIC.
- Averaged with 'same week last year × growth' for a robust ensemble.
- Tested on a quarter the model never saw before being trusted.